

AI Adoption Opportunity

Dashboard for Cleo

Evidence-based analysis of AI adoption in mid-market retail.

Every chart states one conclusion. Every recommendation cites its source.

89%

retailers using
or testing AI

33%

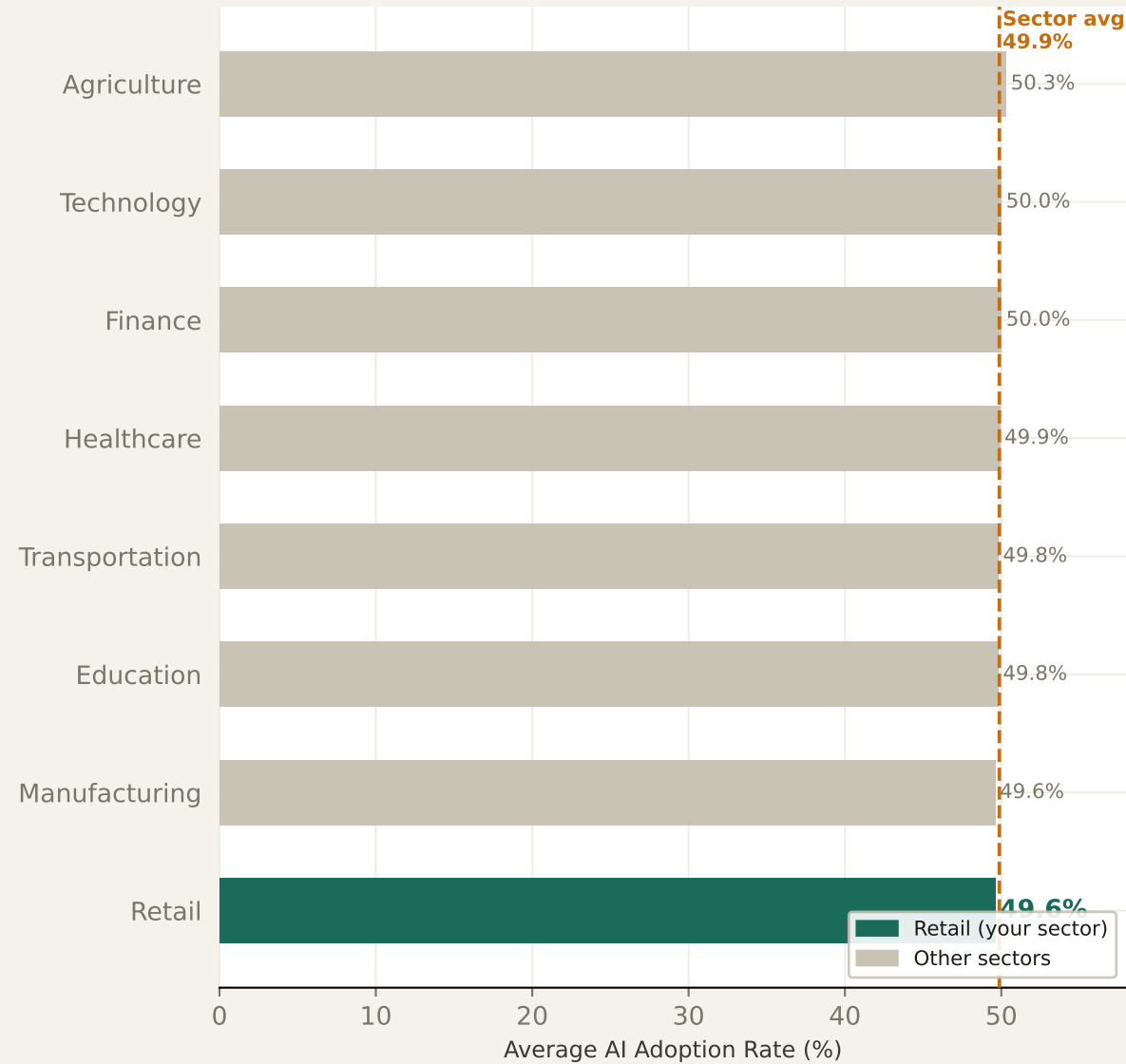
have fully
implemented it

\$18.4B

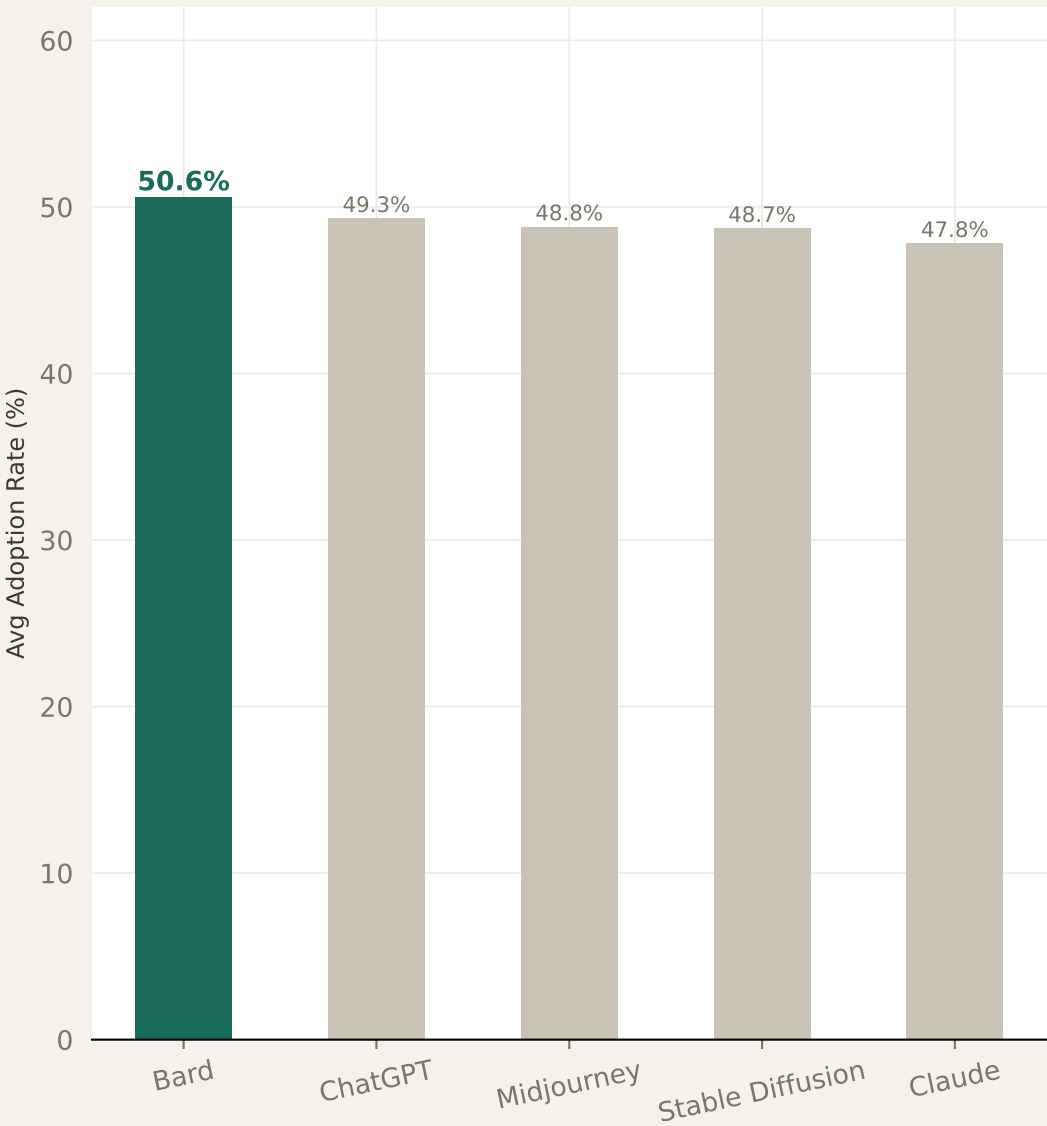
global retail AI
market 2026

Retail matches the sector average. The gap is in implementation, not awareness.

Retail Matches the Sector Average -
The Problem Is Implementation, Not Awareness



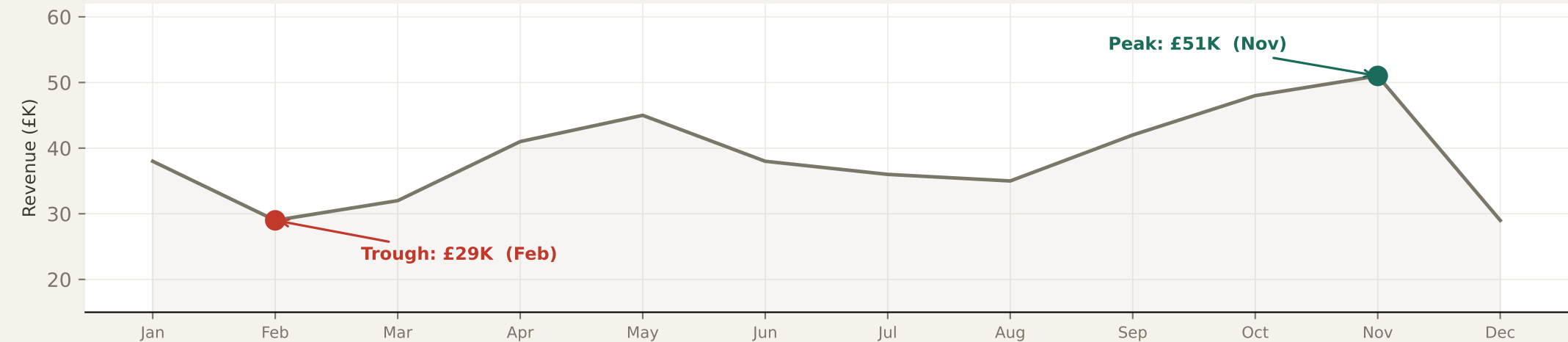
No Single AI Tool Dominates Retail SMEs -
ChatGPT Leads, But Only Narrowly



So what: 56% of retailers have not fully implemented AI. That gap is your opportunity. So what: No dominant tool means Cleo can choose based on fit, not market pressure.

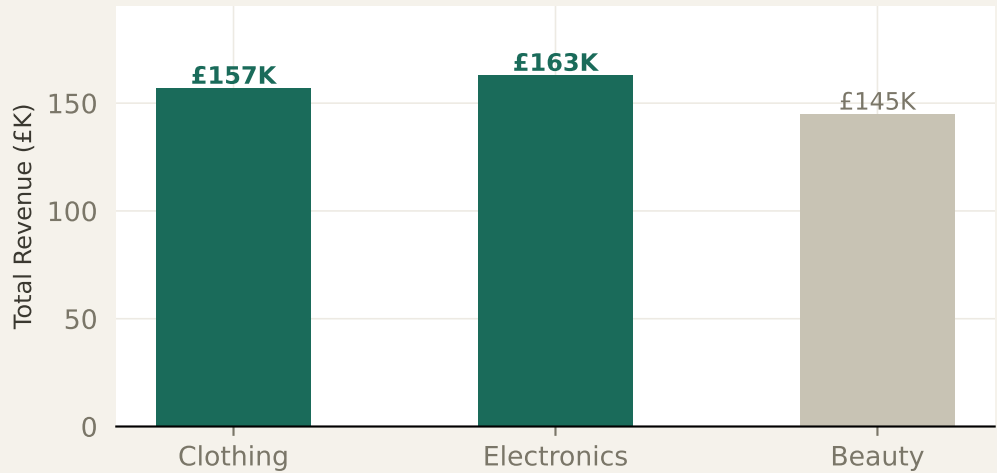
Three patterns in this sales data that AI is built to solve.

A 76% Revenue Swing Between Peak and Trough Creates Costly Overstock Risk

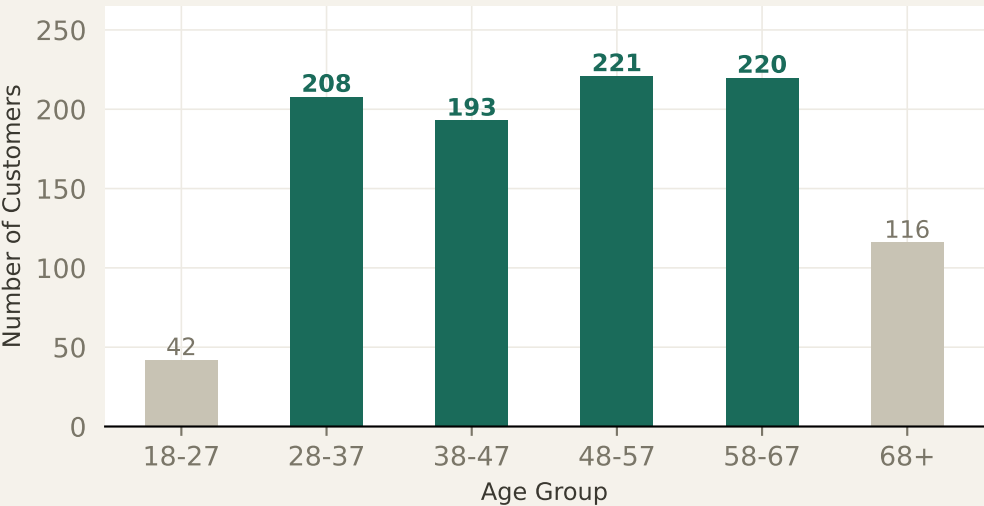


So what: This 76% swing means buyers are guessing. AI forecasting converts this pattern into a replenishment plan.

Clothing and Electronics Drive 69% of Revenue - Focus Inventory AI Here First

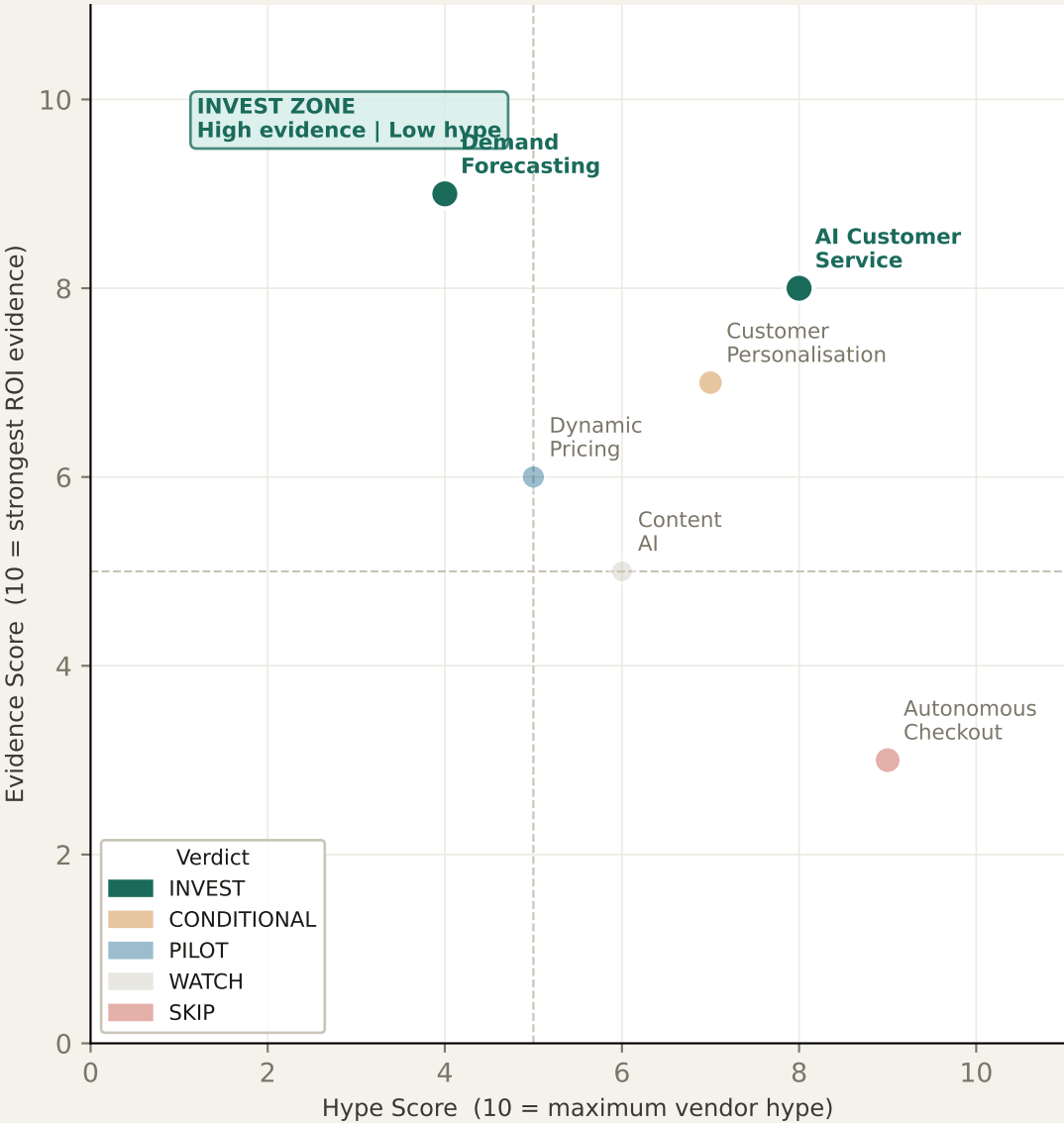


84% of Customers Fall Into 4 Equal Segments - Personalisation Has a Clear Target



Only two retail AI use cases are investment-grade right now.

Demand Forecasting Has the Strongest Evidence and Lowest Hype - Start Here



All others require better data, more evidence, or a later phase

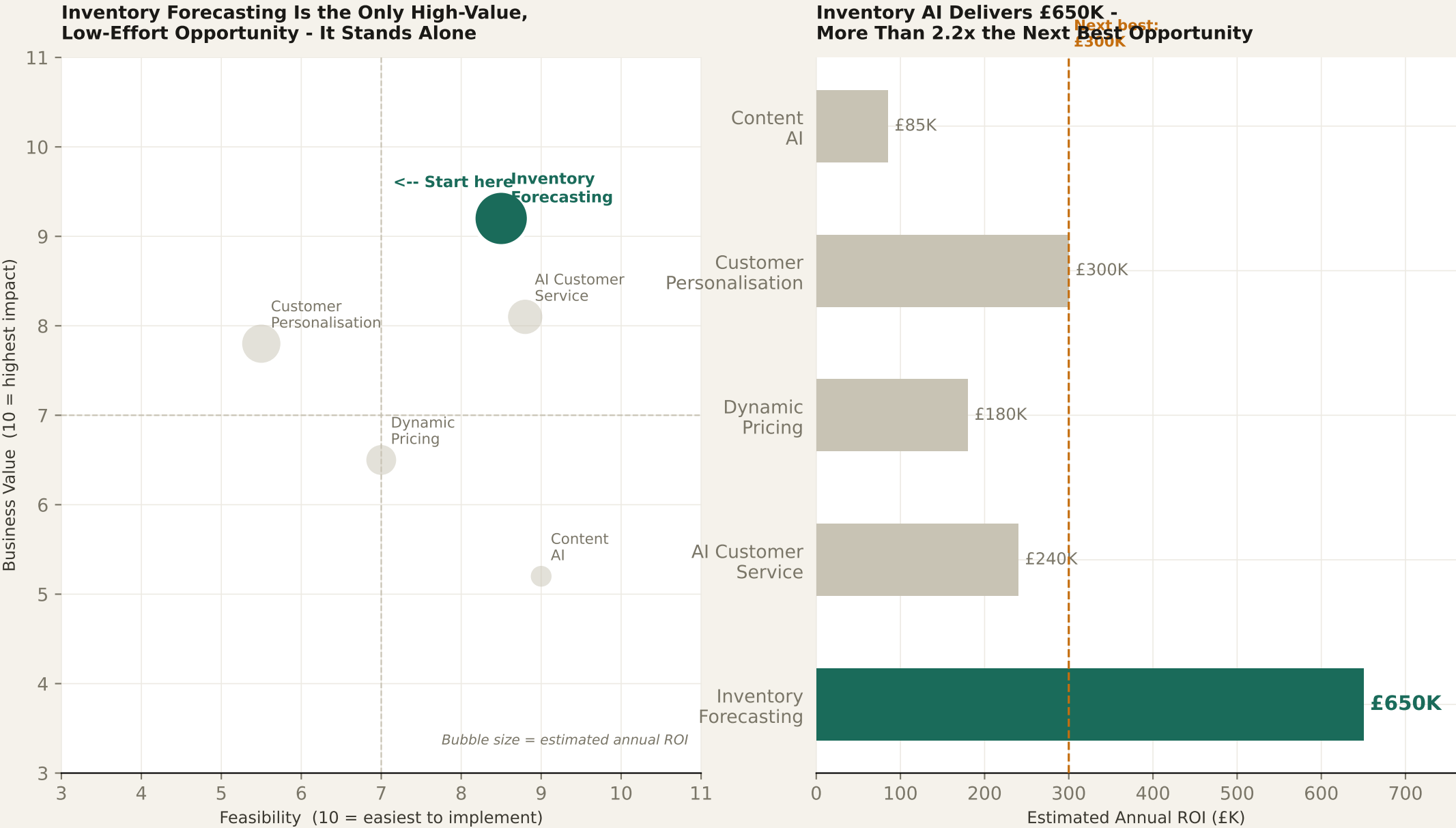
Use Case	Evidence	Hype	Payback	Verdict
Demand Forecasting	9/10	4/10	12 mo	INVEST
AI Customer Service	8/10	8/10	6 mo	INVEST
Dynamic Pricing	6/10	5/10	9 mo	PILOT
Personalisation	7/10	7/10	18 mo	CONDITIONAL
Content AI	5/10	6/10	24 mo	WATCH
Autonomous Checkout	3/10	9/10	36 mo	SKIP

So what: Start with Demand Forecasting. Add AI Customer Service in Phase 2.

So what: Two dots in the Invest Zone. Everything else needs more evidence or better data first.

Evidence scores from published retail AI case studies | Hype scores reflect gap between vendor claims and documented outcomes

Inventory forecasting is the only high-value, low-effort opportunity in retail AI.

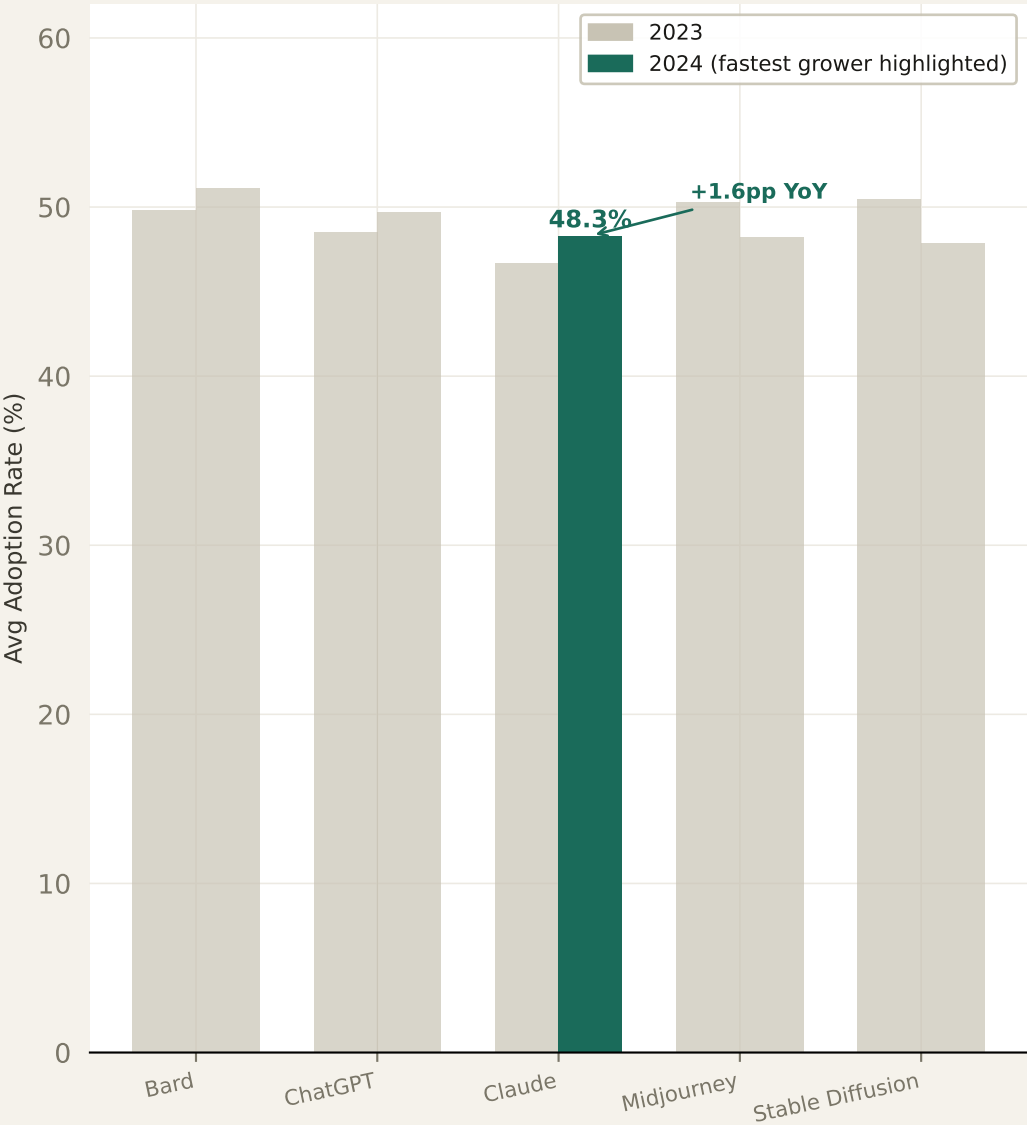


So what: High value AND easy to implement is rare. Inventory forecasting is the exception. So what: The ROI gap makes the choice straightforward. No trade-off required.

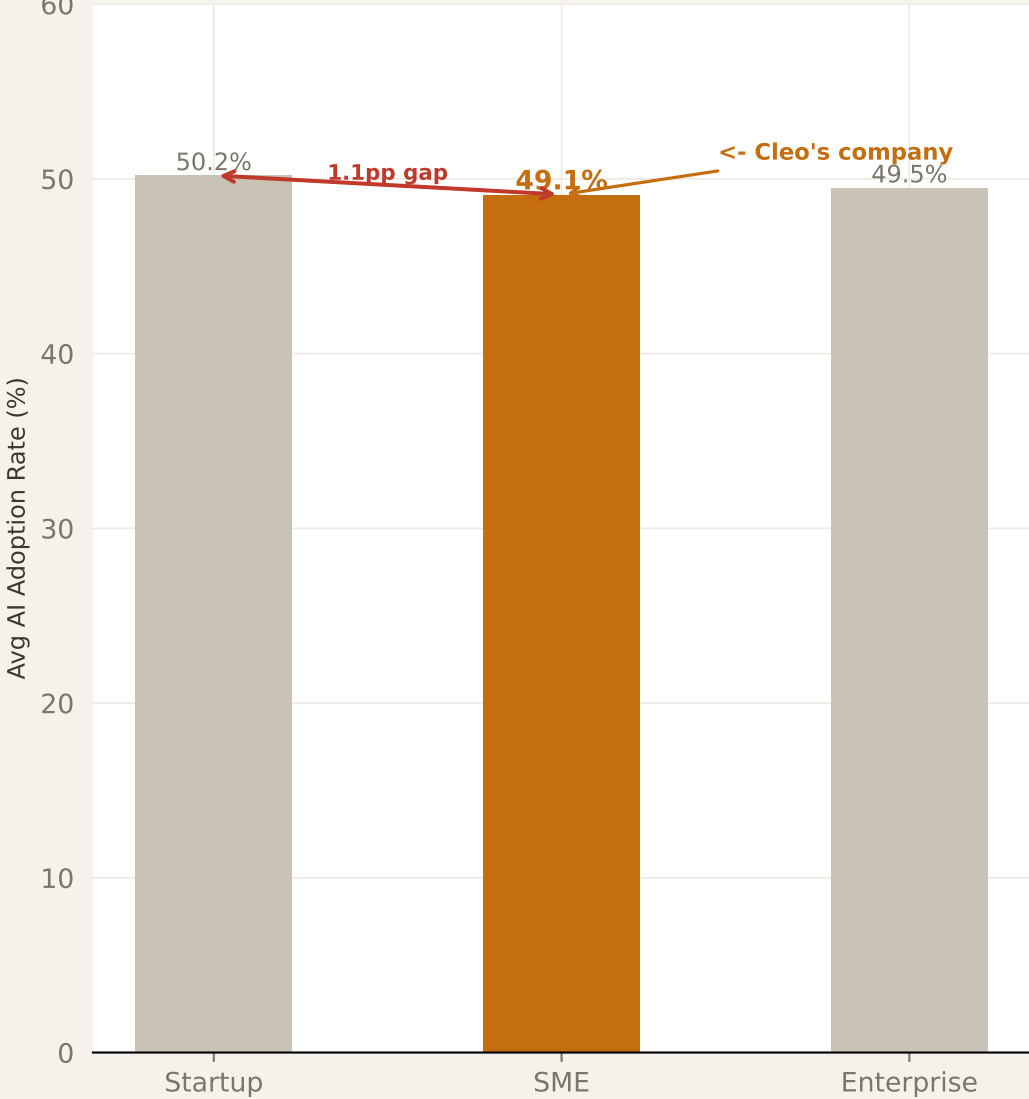
ROI estimates based on published retail AI benchmarks for £15M revenue base | Assumptions in cost_analysis.md

Retail SME competitors are already moving. The window to lead is narrowing.

AI Tool Adoption Is Growing in Retail SMEs - The Window to Lead Is Narrowing



Retail SMEs Lag Startups by 1.1 Points - Cleo's Competitors Are Already Moving



So what: Every AI tool grew year-on-year. Adoption is not slowing - competitors are n So what: SMEs are behind startups. Waiting another year widens that gap further.

Cleo should invest. One use case. 90-day pilot. £5K maximum commitment.

RECOMMENDED FIRST INVESTMENT

AI Demand Forecasting & Inventory Optimisation

Works on existing ERP/POS data | Measurable in 3-6 months | No customer data platform required

£650K

est. annual benefit
(£15M revenue base)

9-18

months to payback

30:1

estimated ROI ratio

FOUR-PHASE ROADMAP

Phase 0

Data Audit

Wks 1-2

Phase 1

Vendor Selection

Wks 3-6

Phase 2

Pilot Deployment

Wks 7-16

Phase 3

Evaluate & Scale

Wks 17-20